

cable television industries in the U.S. Overseas opportunities beckon as well. In the past five years alone, the number of satellite dishes in India has gone from 400,000 to 10 million. As the distribution channels expand worldwide, the value of entertainment will continue to increase.

With the consolidation we've already experienced in the filmed entertainment industry, there are fewer ways to participate. Time Warner is a dominant global company in both filmed entertainment and pre-recorded music. Assuming the marriage with Turner Broadcasting is consummated, Time could become an international cable TV powerhouse as well. The stock price has been restrained by concerns about Time's debt, the unwinding of what has become an acrimonious relationship with US West, and the uncertain prospects for Time Warner's huge cable television operations. Investors are currently blind to the forest through the trees on this one. In the long run, however, we are confident the market will recognize Time Warner's pre-eminent global position in entertainment software.

Other beneficiaries of this favorable long-term trend for entertainment software producers and packagers also include Viacom—the world wants its MTV; Seagram, the new owner of MCA, and Liberty Media, John Malone's combination of Tele-Communications Inc.'s cable network investments.

UP, UP AND AWAY

Air traffic is tremendously sensitive to increases in personal income. The new international middle class will be taking to the friendly skies. They will fly for business, and they will fly for pleasure. Over the next five years, you could probably make a lot of money investing in international airline stocks. But it will be less complicated and perhaps just as profitable